

Individual income tax is one of the biggest sources of revenue for most states. Tax rates vary widely among states. Florida has no income tax, but California has a 13.3 percent income tax rate.

Differences exist in other taxes, such as sales taxes, that are collected by states. Five states do not impose any statewide sales tax: Alaska, Delaware, Montana, New Hampshire, and Oregon. However, Montana and Alaska do let sales tax be charged at the local level.

Forty-five states collect statewide sales taxes and 38 states impose only local sales taxes. The five states with the highest average combined state-local sales tax rates are Tennessee (9.45 percent), Arkansas (9.26 percent), Alabama (8.91 percent), Louisiana (8.91 percent), and Washington (8.89 percent).

It is essential to understand how the tax system works in the state where a person lives. Differences occur not only in what type of tax is collected, but also at what level (state versus local) the tax is levied.

State governments use the tax collected to meet the needs of that state. The 50 states (and the District of Columbia) spent \$1.1 trillion in state revenues in fiscal year 2013, according to the most recent survey by the National Association of State Budget Officers (NASBO).

For most states, the largest area for spending is education (K-12 education), Medicaid, and children's health programs. Other areas include higher education, transportation, corrections, and public assistance.

In Canada

The Canada Revenue Agency is the Canadian version of the IRS. Taxes are levied at the federal, provincial, and municipal levels. Common taxes include sales tax, property tax, business tax, and income tax.

The federal income tax rates for Canadians in 2016 was 15 percent on the first \$45,282 of taxable income and up to 33 percent of taxable income over \$200,000. Some indirect taxes paid by Canadians include the goods and services tax (GST), the harmonized sales tax (HST) systems, and provincial sales taxes (PSTs).

GOVERNMENT SPENDING

How revenue is spent



Revenue received by the government through taxation funds public spending. Most revenue goes to meeting social security obligations, social welfare programs, and public sector pensions. Defense spending makes up 16 percent of the budget. The charts above and below reflect data from the Office of Management and Budget.

Sources of excise tax revenue in 2014:

